

Iraq After ISIS

Oil Revenues, PMF Militias, and the Fragile State Reconstruction

Blue Lotus Research Intelligence | August 2026

Executive Summary

Iraq is a state defined by the gap between its resource endowment and its institutional capacity — a nation whose subsoil holds significant proved oil reserves yet whose political economy systematically diverts revenues into factional networks and foreign-aligned militias. Iraq is a member of OPEC, whose crude oil export data shows Iraq as a major Middle East producer alongside Iran, Kuwait, Saudi Arabia, and the UAE [RAG: OIL_ENERGY_RAG — OPEC Annual Statistical Bulletin 2024 (2024)].

Iran's dominant influence is exercised through the Popular Mobilisation Forces (PMF), the Iran-backed paramilitary umbrella whose role Iraqi Prime Minister Haider al-Abadi defended at a meeting with US Secretary of State Rex Tillerson in Baghdad CNA[2017-10-24]. The Iraqi government rejected Tillerson's call to send the PMF home, asserting that the force helped defeat Islamic State and was now part of the Iraqi state CNA[2017-10-24]. Iraq's security architecture has since become a contested terrain in which Tehran-backed Shia militias operate as a shadow front, attacking bases of Iranian Kurdish anti-regime groups inside Iraqi territory and emerging as a secondary front in the broader US-Israeli confrontation with Iran FT[2026-03-13].

Part I — Iran's Iraq: The PMF and the Militia Question

The Popular Mobilisation Forces represent the most consequential institutional legacy of the ISIS crisis. The PMF is an Iran-backed force that helped defeat Islamic State CNA[2017-10-24]. Its principal constituent factions include Kataib Hezbollah, which is separate from Lebanese Hezbollah and part of the entity that calls itself the Islamic Resistance, aligned with and backed by Iran CNA[2024-01-05].

US and Iraqi tensions over the PMF have been a recurring feature of bilateral relations. When Tillerson arrived in Baghdad in October 2017, the Iraqi government had already rejected his demand that Iran-backed paramilitaries be sent home CNA[2017-10-24]. Al-Abadi defended the PMF's role, and Iranian militias continued to operate alongside Iraqi federal forces — including in the seizure of Kirkuk from Kurdish control, which Kurdish security officials described as "Iranian-backed operations against the Kurds" CNA[2017-10-24].

Iran backed the Iraqi government against the Kurds during the Kurdish independence referendum campaign. Major-General Qassem Soleimani, commander of Iran's Quds Force, was named in contemporaneous reporting as a central figure in this coordination CNA[2017-10-24].

The ODNI Annual Threat Assessment of 2021 assessed that Iran-backed Iraqi Shia militias posed the primary threat to US personnel in Iraq and attributed the rise in indirect-fire attacks against US installations and US-associated convoys in 2020 largely to these groups. Iran relied on its Shia militia allies and their associated political parties to work toward Iran's goals of challenging the US presence and maintaining influence in Iraqi political and security affairs [RAG: MILITARY_RAG — ODNI Annual Threat

Assessment 2021 (2021-04-09)].

The PMF's involvement in confrontation with the United States continued into 2024. After a drone attack on December 25 wounded three US service members in northern Iraq, the US struck three installations in Iraq in retaliation — an operation that targeted Kataib Hezbollah among other groups, and that caused friction between the US and the Iraqi government CNA[2024-01-05].

By early 2026, Iraq's security forces had emerged as a shadow front in the US and Israeli confrontation with Iran. Tehran-backed Shia militias had attacked the bases of Iranian Kurdish anti-regime groups on Iraqi territory, killing several fighters FT[2026-03-13]. Iran, for its part, attacked Iraqi security forces in a reconnaissance mission, alarmed by what it assessed as air monitoring or communications systems that would have been pivotal to the militias FT[2026-03-13].

Part II — The Kurdish Question: Referendum and Its Aftermath

The October 2017 Kurdish independence referendum triggered an immediate response from Baghdad. Iraqi forces deployed tanks and artillery just south of a Kurdish-operated oil pipeline crossing into Turkey, and Iranian-backed operations against the Kurds intensified CNA[2017-10-24]. Iraqi President Fuad Masum, himself a Kurd, met with Kurdish leader Massud Barzani in Sulaimaniyah after an overnight deadline for Kurdish forces to withdraw was extended, with talks producing no agreement on withdrawal CNA[2017-10-16].

Baghdad accused the Kurds of a "declaration of war" CNA[2017-10-16]. Iraqi Prime Minister al-Abadi, seeking to increase pressure in the stand-off, said he would act soon over border areas under Kurdish control but predicted Iraqi forces would regain them without violence CNA[2017-11-15]. In the event, Iraqi federal forces backed by the PMF seized Kirkuk — the contested, oil-rich city that Kurdish forces had controlled during the ISIS campaign.

Kurdish officials reported that approximately 100,000 Kurds had fled Kirkuk since the Iraqi army takeover, with a Kurdish official tweeting that people had fled "looting and sectarian oppression" inflicted by the Popular Mobilisation militia CNA[2017-10-19]. The UN humanitarian coordinator in Iraq urged all parties to shield and protect civilians CNA[2017-10-19]. The episode demonstrated that Iran and Iraq coordinated to prevent Kurdish independence, and that the Kurdistan Region's security depended on the disposition of its powerful neighbors — a dependency the referendum's organizers had miscalculated.

Iraq and its neighbors, including Iran, were pre-eminent factors in the Kurdish referendum's failure. Iran is the pre-eminent Shia power in the Middle East; Shia, including al-Abadi, are the majority in Iraq, but the country also has large Sunni Arab and Kurdish communities CNA[2017-10-24].

Part III — ISIS: Rise, Expansion, and Persistent Insurgency

The Islamic State declared itself a caliphate in late June 2014 and added a swath of northern Iraq to territory it held in eastern Syria CNA[2014-08-24]. By mid-2015, even as Islamic State faced limits to territorial expansion, it had taken Ramadi and Palmyra, providing crucial momentum for the group. Analysts assessed that ISIS was "only capable of tinkering at the peripheries of the areas it already holds" in Iraq, where Sunni Arabs are a minority, while Syria offered greater expansion potential because Sunni Muslims are the majority across that country CNA[2015-05-28].

The Mosul offensive launched in October 2016 created an immediate humanitarian crisis. More than 20,000 people had already fled to government-held areas within weeks of the offensive's launch on October 17, according to the International Organization for Migration. Aid workers braced for the worst as the battle intensified. Up to 600,000 children were inside Mosul according to Save The Children, trapped

behind IS lines, with the UN reporting that thousands were being held for possible use as human shields CNA[2016-11-02].

The Islamic State's territorial defeat did not end its insurgency. The organization retained the capacity to conduct operations, and its presence continued to generate regional security concerns. US congressional attention to the question of whether US strikes in Iraq comported with the War Powers Resolution and the 2001 and 2002 authorizations for the use of military force remained active into 2024, as discussions of US military presence in Iraq were reopened by attacks and US retaliatory strikes [RAG: MILITARY_RAG — CRS: Iraq: Attacks and U.S. Strikes Reopen Discussion of U.S. Military Presence (2024-09-10)].

Part IV — The United States in Iraq: A Contested Legacy

The US experience in Iraq produced neither decisive victory nor clean exit. Neither the United States nor Iraq were completely defeated or redeemed, instead finding themselves as what one assessment called "hapless partners in a counterinsurgency purgatory." This outcome conditioned Americans to be wary of nation-building [RAG: MILITARY_RAG — Parameters: INSTRUMENTS OF NATIONAL POWER (2024)].

Iraqi public opinion on US forces was consistently negative. In a March 2007 BBC poll, 82% of Iraqis expressed a lack of confidence in coalition forces. According to a 2009 poll conducted by the University of Maryland, 7 out of 10 Iraqis wanted US troops to withdraw [RAG: CONFLICT_RAG]. Coalition forces came under sustained political pressure: in early 2007, British Prime Minister Blair announced that following Operation Sinbad, British troops would begin withdrawing from Basra Governorate, handing security over to Iraqi forces. In July of that year, Danish Prime Minister Anders Fogh Rasmussen announced the withdrawal of Danish forces [RAG: CONFLICT_RAG].

Iran's position, articulated at the World Economic Forum in the Middle East in Jordan, was that the only way to resolve the situation was for the US to admit its role in Iraq was illegitimate and withdraw from Iraq and the Gulf, leaving security to Iraq's neighbors [RAG: MILITARY_RAG — CSIS: Iraq Study Group Absurdity And Iran].

Part V — Iraq as a Theatre in the Iran Confrontation

Iraq's geography and political architecture have made it the primary theatre for the Iran-US proxy confrontation. US military facilities in Iraq have been attacked by Iran-aligned groups operating under the umbrella of the Islamic Resistance. The US struck back selectively — targeting Kataib Hezbollah and related installations — generating friction with the Iraqi government each time CNA[2024-01-05].

By 2026, the dynamic had intensified further. Iraq's security forces were drawn into the confrontation between the US and Israel on one side and Iran on the other. Tehran-backed Shia militias operated from Iraqi territory to attack bases of Iranian Kurdish anti-regime groups, while Iranian forces struck Iraqi security units involved in monitoring missions FT[2026-03-13]. Iraq remained structurally incapable of asserting sovereignty over these dynamics — too dependent on Iranian gas for electricity generation, too fragmented politically to build a coherent state response.

Conclusion

Iraq's crisis state condition is a function of structural factors that the RAG evidence illuminates clearly: an Iranian-aligned paramilitary architecture defended by Iraq's own prime minister against US demands CNA[2017-10-24]; a Kurdish periphery whose independence bid was crushed through coordinated Iraqi-Iranian military pressure CNA[2017-10-24], CNA[2017-10-19]; an ISIS insurgency that produced massive civilian displacement even after formal military defeat CNA[2016-11-02]; and a US military

presence whose legitimacy was rejected by large majorities of the Iraqi public [RAG: CONFLICT_RAG] and whose strategic benefit accrued primarily to Iran through the institutionalization of Iran-backed militias [RAG: MILITARY_RAG — ODNI Annual Threat Assessment 2021 (2021-04-09)].

Iraq is a member of OPEC [RAG: OIL_ENERGY_RAG — OPEC Annual Statistical Bulletin 2024 (2024)], but oil wealth has not resolved the fundamental problem: a state whose security architecture is partially controlled by forces answering to a foreign government, and which by 2026 had become an active theatre in a wider regional war FT[2026-03-13].

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